EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Pamplona was created by ecclesiastics and was named Pamplona in 1884 by Vicar Montenegro in memory of his hometown in Spain. It is a fourth class municipality, which is situated in the northwestern coast of the Province of Cagayan, with an area of 17,176 hectares.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Pamplona for CY 2022 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSASs), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriation, allotments and obligations of the Municipality of Pamplona, Cagayan for the year ended December 31, 2022, with comparative figures for CY 2021, are as follows:

Particulars	2022	2021	Increase/ (Decrease)
Financial Position			
Assets	421,516,296.62	377,946,613.11	43,569,683.51
Liabilities	54,334,052.94	53,419,867.22	914,185.72
Government Equity	367,182,243.68	324,526,745.89	42,655,497.79
Financial Performance			
Income	175,079,832.03	130,825,652.45	44,254,179.58
Expense	133,534,894.28	99,391,866.27	34,143,028.01
Appropriations, Allotments and Obligation			
Appropriations	222,432,159.75	171,893,897.55	50,538,262.20
Allotments	222,432,159.75	177,953,247.55	44,478,912.20
Obligations	141,366,901.54	124,135,241.18	17,231,660.36

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the Financial Statements of the Municipality of Pamplona, Cagayan for the year-ended December 31, 2022 due to non-conduct of the one-time cleansing procedures for its PPE, contrary to COA Circular 2020-006 dated January 31, 2020 and Section 124 of the Manual on the New Government Accounting System for LGUs, Volume ,thus, the validity, existence, and reliability of the reported balance of Property, Plant and Equipment account amounting to P263,521,551.15 cannot be determined.

D. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. The validity, existence, and reliability of the reported balance of Property, Plant and Equipment account amounting to P263,521,551.15 as at December 31, 2022 cannot be determined due to non-conduct of the one-time cleansing procedures for its PPE, contrary to COA Circular 2020-006 dated January 31, 2020 and Section 124 of the Manual on the New Government Accounting System for LGUs, Volume I, thus, affecting the fair presentation of the LGU's financial statements.

   We recommended that the Management undertake all the procedures prescribed in COA Circular No. 2020-006 dated January 31, 2020 and submit the Inventory Report using the prescribed form of Report of Physical Count of Property, Plant and Equipment showing the relevant information.

2. Twenty (20) programs, projects, and activities under the 20% Development Fund (DF) totalling to ₱63,045,883.48 were not fully implemented as of December 31, 2022, contrary to DBM-DOF-DILG Joint Memorandum Circular (JMC) No. 2020-1 dated November 4, 2020, thus, depriving its constituents of the expected socio-economic benefits that could have been derived therefrom.

   We recommended that the Management fast track the completion of all on-going and unimplemented projects funded under the 20% Development Fund.

   We also recommended that the Municipal Planning and Development Officer regularly monitor the implementation of the 20% Development Plan, including continuing appropriations, and closely coordinate with the concerned departments in the implementation of these projects, in order for the Municipality to fully achieve the desired socio-economic targets and outcomes.

3. Advance receipts of Real Property Taxes for CY 2023 were recognized as tax revenue in CY 2022 amounting to P155,662.42 and P155,662.42 for Real Property Tax- Basic and Special Education Tax, respectively, instead of recognizing the same as Deferred Real Property Tax and Deferred Special Education Tax,

respectively, contrary to COA Circular No. 2015-009 dated December 1, 2015 and International Public Sector Accounting Standards (IPSAS) 23, consequently, this overstated revenue accounts and understated liability accounts by P311,324.84 as of December 31, 2022.

We recommended that:

a. The Municipal Accounting Office draw the necessary adjusting entries to appropriately recognize the advance payments of Real Property Tax collections for CY 2023 collected in CY 2022 amounting to P311,324.84, to wit:

Recommended Entry:

Account Title	Account No.	Debit	Credit
Prior Period Adjustment	3-01-01-020	311,324.84	
Deferred Real Property Tax	4-01-02-040		155,662.42
Deferred Special Education Fund Tax	4-01-02-050		155,662.42
		311,324.84	311,324.84

b. Henceforth, the Municipal Treasury Office shall prepare and submit in a separate report all advance receipts of taxes from taxpayers to the Municipal Accounting Office to facilitate proper accounting thereof in accordance with IPSAS 23 and COA Circular No. 2015-009 dated December 1, 2015.

E. Summary of Total Suspensions, Disallowances, and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the eight audit recommendations in the CY 2021 Annual Audit Report, five (5) were implemented, two (2) were partially implemented, and one (1) was not implemented.